Growth Strategy

Report ran on September 25, 2026

STRATEGY VIEW

The clearest push right now is in semiconductors, where warmer US-China talks, tight AI capacity and accelerating hardware demand have chipmakers leading the tape — that supports the book's largest position, which sits directly in that current. Rates are the offsetting force: the two-year yield is up sharply and the curve has flattened, with the market now pricing another hike rather than cuts, which is why the financials that had been held were closed on rising short rates. Elsewhere, consumer-facing AI products are re-rating the large internet platforms, biotech is getting relief as cross-border drug licensing is carved out of the trade fight, and long-duration Treasuries are selling off hard — a backdrop that favors cash-generative compounders over rate-sensitive or leveraged names. The book stays concentrated in quality growth with meaningful room left across health care, technology and staples for the engine to fill.

THEME EXPOSURE

Biotechnology (+0.49) (2): HRMY, INCY
Healthcare (+0.36) (2): LLY, RMD
Semiconductors (+1.55) (2): NVDA, TSM
Software - Infrastructure (+0.60) (1): MSFT

NEW ENTRIES

Taiwan Semiconductor Manufacturing Company Limited | TSM [LONG] @ $450.61 | Conviction: HIGH

Semiconductors · Large cap
Rev +33% · ROIC 27% · P/E 28.7 · PEG 1.5 · P/B 9.98 · ROE 39% · Div yield 1.0%
Analysts 7 Buy / 1 Hold / 0 Sell (as of 09/25/26) · Earnings 10/15/26 (est.) · Ex-div 12/10/26
Theme: Semiconductors



The dominant leading-edge foundry, converting an AI-driven demand surge into rare economics: mid-50s operating margins, 27% ROIC and rising free-cash generation on a fortress balance sheet (0.15 debt/equity, 285x interest coverage). Planned 2027 wafer price increases of 3-6% on tight advanced-node capacity point to real pricing power rather than pure volume. The 3-year revenue base of ~19% shows this is structural, not a single spike. At 28.7x earnings with a 1.53 PEG, the price is reasonable for a franchise this durable and hard to replicate. Risks: An AI-capex retrenchment or a China/Taiwan policy escalation would compress both demand and the multiple at once.

Incyte Corporation | INCY [LONG] @ $123.89 | Conviction: MEDIUM

Biotechnology · Large cap
Rev +21% · ROIC 25% · P/E 15.3 · PEG 0.2 · P/B 3.93 · ROE 30% · Div yield 0.0%
Analysts 11 Buy / 10 Hold / 0 Sell (as of 09/25/26) · Earnings 11/03/26 (est.)
Theme: Biotechnology



A cash-rich, high-return biotech: 24.6% ROIC, 27.7% net margin, near-zero debt and a 4.66 current ratio, with revenue compounding mid-teens over three years and strong free-cash conversion. The Opzelura/povorcitinib inflammation portfolio and a $4B non-JAKAFI sales target address the real question — replacing Jakafi after 2029 loss of exclusivity. At a 15x P/E and a 0.24 PEG, expectations are already low, so pipeline execution is the swing factor rather than the price. Biotech is getting relief as cross-border licensing is spared from the trade fight. Risks: Failure to build a durable post-Jakafi franchise would turn the coming loss of exclusivity into a genuine revenue cliff.

Eli Lilly and Company | LLY [LONG] @ $1,183.46 | Conviction: HIGH

Drug Manufacturers - General · Large cap
Rev +45% · ROIC 31% · P/E 39.5 · PEG 0.8 · P/B 31.12 · ROE 93% · Div yield 0.6%
Analysts 20 Buy / 1 Hold / 1 Sell (as of 09/25/26) · Earnings 10/29/26 (est.)



The GLP-1 leader compounding revenue near 45% with 31% ROIC and ~50% operating margins, still gaining ground on Novo in both injectable and oral obesity, with a broad label-expansion cadence (Onswik, Olumiant) adding shots on goal. Balance-sheet leverage (1.62 debt/equity) is the one blemish, well covered at 40x interest. On 2027 consensus the 39.5x P/E compresses toward the mid-20s and the PEG is 0.76 — reasonable given a multi-year volume runway even as U.S. prices fall. Durability looks high, though pricing pressure is the live variable. Risks: Aggressive GLP-1 price cuts or a competing molecule could outrun volume growth and compress the premium multiple.

ResMed Inc. | RMD [LONG] @ $222.00 | Conviction: MEDIUM

Medical - Instruments & Supplies · Large cap
Rev +10% · ROIC 19% · P/E 21.2 · PEG 1.1 · P/B 4.85 · ROE 24% · Div yield 1.1%
Analysts 5 Buy / 8 Hold / 0 Sell (as of 09/19/26) · Earnings 10/22/26 (est.)



The sleep-apnea leader with durable device-plus-software economics: 33.5% operating margin, 19% ROIC, strong free-cash conversion and a light balance sheet (0.13 debt/equity). GLP-1 fears that once weighed on the stock are inverting — management frames obesity drugs as pulling more diagnosed patients into therapy, supporting a 12-14% EPS growth outlook. Growth is steadier than fast (~10% revenue), so this is a compounder, not a surger. Down 24% from its high at 21x earnings and a 1.09 PEG, the price is reasonable, with recent margin pressure the reason to keep conviction measured. Risks: Renewed evidence that GLP-1 adoption reduces rather than expands the sleep-therapy pool would break the re-rating case.

Microsoft Corporation | MSFT [LONG] @ $516.17 | Conviction: HIGH

Software - Infrastructure · Large cap
Rev +18% · ROIC 21% · P/E 28.4 · PEG 1.2 · P/B 8.60 · ROE 33% · Div yield 0.7%
Analysts 31 Buy / 1 Hold / 0 Sell (as of 09/19/26) · Earnings 10/27/26 (est.) · Ex-div 11/19/26
Theme: Software - Infrastructure



A quality compounder with 20.6% ROIC, ~47% operating margins and 40% net margins, growing revenue high-teens on Azure and Copilot. The unified Copilot with FinOps controls positions it as the management layer for enterprise AI spend, deepening a wide moat in productivity and cloud. Growth is broad-based and structural rather than cyclical, though heavy AI capex is compressing free-cash growth for now. At 28.4x earnings and a 1.25 PEG the multiple is full but not extreme for durability this proven; enterprise AI competition keeps cloud demand elevated. Risks: AI capex could keep outrunning free-cash generation, or cloud monetization could disappoint the multiple's embedded expectations.

EXITS

ACGL Arch Capital Group Ltd. 14d held **-1.5%**
Insurance - Diversified · large cap
Rates signal: 2-year yield up 68 bp and the 2s10s curve flatter by 11 bp over 20 trading days. [LONG]

IBKR Interactive Brokers Group, Inc. 63d held **-2.7%**
Investment - Banking & Investment Services · large cap
Rates signal: 2-year yield up 68 bp and the 2s10s curve flatter by 11 bp over 20 trading days. [LONG]

PGNY Progyny, Inc. 7d held **-6.2%**
Stop loss: down 6.2% against a 5% stop, closed regardless of thesis. [LONG]

ALL The Allstate Corporation 63d held **-12.4%**
Stop loss: down 12.5% against a 5% stop, closed regardless of thesis. [LONG]

CURRENT HOLDINGS

Ticker	Name	Sector	Conviction	Entry Date	Entry $	Current $	Return
NVDA	NVIDIA Corporation	Technolog	HIGH	09/11/26	$218.29	$225.07	+3.1%
HRMY	Harmony Biosciences Holdings, Inc.	Health Ca	MEDIUM	07/17/26	$33.77	$41.26	+22.2%

2 open positions · Unrealised on $1,000 per trade: +$252.90 · Average return: +12.65%

Notional: every position sized at $1,000 at entry, regardless of actual weight. For comparison between strategies only.

Paper portfolio - no real money. For research only.